RAG Learning

Module 2.3 Economic Policy

1. Monetary Policy

Monetary policy involves the use of interest rates, the money supply, and credit conditions to influence aggregate demand and achieve macroeconomic objectives. In the UK, monetary policy is set by the **Bank of England's Monetary Policy Committee (MPC)**, which is independent of government.

1.1 The Bank of England and the MPC

- The MPC has **9 members** — 5 internal (Bank staff) and 4 external economists appointed by the Chancellor.
- They meet **8 times per year** to set the **Bank Rate** (the base interest rate).
- The primary target is **CPI inflation of 2%** (symmetric target — deviations above and below are equally important).
- If inflation deviates by more than 1 percentage point from the target (below 1% or above 3%), the Governor must write an open letter to the Chancellor explaining why and what action is being taken.
- The MPC is **operationally independent** — the government sets the target, but the MPC decides how to achieve it. This reduces political interference and enhances credibility.

1.2 How Interest Rates Affect the Economy

The Bank Rate influences the interest rates that commercial banks charge borrowers and pay to savers. Changes in interest rates affect AD through several **transmission mechanisms**:

Channel	How a Rate Rise Works	Effect on AD

Borrowing cost	Higher rates increase the cost of mortgages, loans, and credit cards	Reduces consumption (C) and investment (I) — AD falls
Saving incentive	Higher returns on savings encourage saving over spending	Reduces C — AD falls
Mortgage payments	Variable-rate mortgage holders face higher monthly payments, reducing disposable income	Reduces C — AD falls
Asset prices	Higher rates reduce house and share prices (negative wealth effect)	Consumers feel poorer, reducing C — AD falls
Exchange rate	Higher rates attract foreign capital, increasing demand for sterling — pound appreciates	Exports dearer, imports cheaper — net exports fall — AD falls
Confidence	Rate rises signal the Bank is concerned about overheating — may dampen business/consumer confidence	Reduces C and I — AD falls

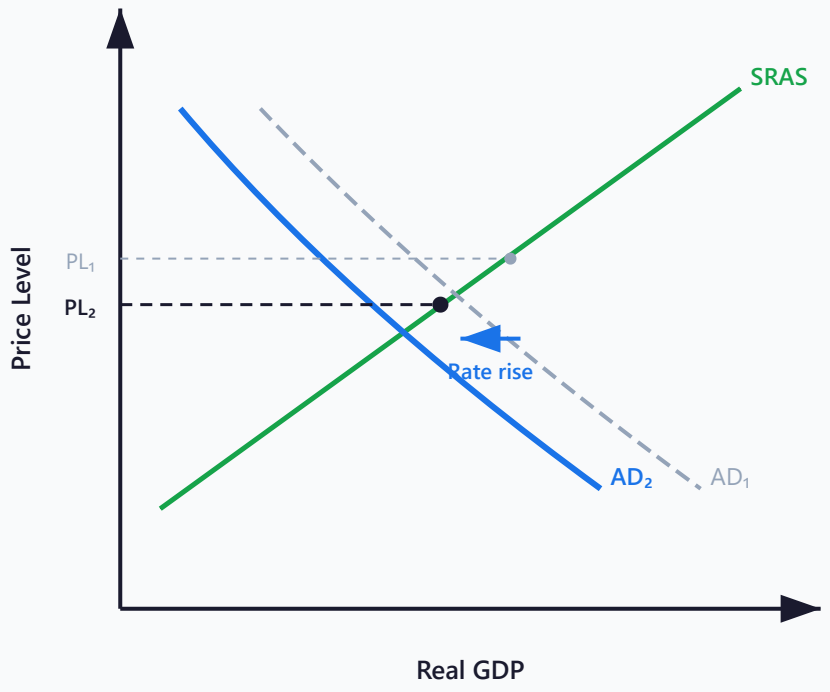

Figure 1: Contractionary monetary policy (interest rate rise) — AD shifts left, reducing inflation and output

1.3 Quantitative Easing (QE)

Quantitative Easing (QE) is an unconventional monetary policy used when interest rates are at or near zero (the "zero lower bound") and conventional rate cuts are no longer possible. The central bank creates new electronic money to purchase financial assets (mainly government bonds) from commercial banks and other financial institutions.

How QE Works

1. Bank of England creates new money electronically.
2. Uses this money to buy government bonds from banks/pension funds.
3. This injects money into the banking system, increasing banks' reserves.
4. Banks should lend more, increasing the money supply and reducing interest rates on loans.
5. Bond prices rise (increased demand), pushing bond yields (long-term interest rates) down.
6. Asset prices (shares, property) rise, creating a positive wealth effect.
7. Lower long-term rates and wealth effects should boost consumption and investment — increasing AD.

Case Study: Bank of England QE — 2009 to 2021

The Bank of England launched QE in March 2009 during the financial crisis, initially purchasing £200 billion of assets. By 2021, total QE had reached £895 billion — more than a third of UK GDP. QE successfully lowered long-term interest rates and supported asset prices, preventing a deeper recession. However, it was criticised for: (1) widening wealth inequality — those who owned assets (houses, shares) saw their wealth increase, while those without assets were left behind; (2) limited impact on bank lending to the real economy (banks rebuilt balance sheets rather than lending); (3) creating asset price bubbles; (4) difficulty unwinding QE without disrupting markets. When the Bank began selling bonds ("quantitative tightening") in 2022, it contributed to the gilt market turmoil that followed the Truss government's mini-budget.

1.4 Evaluation of Monetary Policy

Strengths:

- Independent MPC — reduces political interference, enhances credibility, anchors inflation expectations
- Flexible — interest rates can be adjusted incrementally and frequently (8 meetings per year)
- Effective at controlling demand-pull inflation
- Works through multiple transmission channels simultaneously

Weaknesses:

- **Time lags:** Changes in interest rates take 18-24 months to have their full effect on AD and inflation
- **Asymmetric effects:** Rate rises are more effective at slowing the economy than rate cuts are at boosting it (you can lead a horse to water but cannot make it drink — banks may not lend, consumers may not borrow)
- **Ineffective against cost-push inflation:** Rate rises would worsen the recession component of stagflation
- **Liquidity trap:** At very low rates, further cuts have little effect (people hoard cash rather than spend)
- **Distributional effects:** Rate changes disproportionately affect mortgage holders; QE benefits asset owners
- **Exchange rate effects:** Rate changes affect the exchange rate, potentially harming exporters or importers

2. Fiscal Policy

Fiscal policy is the use of government spending and taxation to influence aggregate demand and achieve macroeconomic objectives. It is set by the Chancellor of the Exchequer in the annual Budget.

2.1 Types of Fiscal Policy

- **Expansionary fiscal policy:** Increase in government spending (G) and/or cut in taxes — shifts AD right. Used to boost growth and reduce unemployment.
- **Contractionary fiscal policy:** Cut in government spending and/or increase in taxes — shifts AD left. Used to reduce inflation or government borrowing.

2.2 Government Budget Position

Budget deficit: Government spending exceeds tax revenue (G > T). Must be financed by borrowing.
Budget surplus: Tax revenue exceeds spending (T > G). Government can repay debt.
National debt: The total accumulated stock of government borrowing over time. The UK national debt exceeded £2.6 trillion by 2024 (over 100% of GDP).

2.3 Automatic Stabilisers

Automatic stabilisers are features of the tax and benefit system that automatically dampen fluctuations in economic activity without deliberate policy changes:

- **In a recession:** Tax revenue automatically falls (lower incomes, lower spending = less income tax and VAT). Benefit payments automatically rise (more unemployment benefits). This injects money into the economy, partially offsetting the fall in AD.
- **In a boom:** Tax revenue rises automatically (higher incomes/spending). Benefit payments fall (less unemployment). This withdraws money, dampening excess AD.

2.4 Discretionary Fiscal Policy

Deliberate changes in government spending or tax rates to manage AD. Examples:

- The 2008-09 fiscal stimulus (temporary VAT cut, increased spending)
- The 2010-15 austerity programme (spending cuts, tax increases to reduce the deficit)
- The COVID-19 furlough scheme and business support grants

Case Study: UK Austerity 2010-2019

After the 2008 financial crisis, UK government debt rose sharply (from ~37% of GDP in 2007 to ~76% by 2010). The Coalition government from 2010 implemented austerity — significant cuts to

government departmental spending (up to 30% in some areas), public sector pay freezes, welfare cuts, and a rise in VAT from 17.5% to 20%. The deficit was reduced from 10% of GDP in 2010 to under 2% by 2019. However, Keynesian critics argued austerity was counterproductive: it slowed the recovery, extended the period of high unemployment, and degraded public services (NHS waiting lists rose, local authority budgets were slashed). UK productivity growth stagnated, and real wages did not return to 2008 levels until 2021. The debate over whether austerity was the right approach remains one of the most contentious in UK economics.

2.5 Evaluation of Fiscal Policy

Strengths:

- Can directly boost AD through government spending (especially effective in a recession with spare capacity)
- The multiplier effect amplifies the initial fiscal injection
- Can be targeted at specific sectors, regions, or groups
- Automatic stabilisers provide continuous countercyclical support
- Effective when monetary policy is constrained (zero lower bound)

Weaknesses:

- **Time lags:** Political (recognition of problem, decision-making, implementation) and economic (effects take time). A recession may be over before the policy takes effect.
- **Crowding out:** Government borrowing to fund spending may push up interest rates, reducing private sector investment and consumption (offsetting the stimulus).
- **Budget deficit and debt:** Expansionary fiscal policy increases borrowing — sustainable in the short run but can become a long-term burden (interest payments consume a growing share of spending).
- **Political influences:** Politicians may use fiscal policy for electoral advantage (pre-election tax cuts) rather than sound economic management.
- **Irreversibility:** Government spending commitments are hard to reverse (e.g. public sector hiring, benefit entitlements).

- **Ricardian equivalence:** Rational consumers may offset government borrowing by saving more (expecting future tax rises to repay the debt), neutralising the stimulus.

3. Supply-Side Policies

Supply-side policies aim to increase the productive capacity of the economy — shifting LRAS to the right. They focus on improving the efficiency of markets, increasing the quantity and quality of factors of production, and boosting long-run competitiveness.

3.1 Market-Based (Interventionist-Light) Supply-Side Policies

Policy	How it Works	Examples
Deregulation	Removing unnecessary rules and restrictions to increase competition and reduce business costs	Financial deregulation (1986 "Big Bang"), energy market liberalisation
Privatisation	Transferring state-owned enterprises to the private sector to improve efficiency through the profit motive and competition	BT (1984), British Gas (1986), British Rail (1994)
Trade union reform	Reducing union power to increase labour market flexibility, reduce wage costs, and lower unemployment	Thatcher's reforms in the 1980s — restrictions on strikes, closed shops
Income tax cuts	Increase incentives to work, increasing labour supply and effort	Cutting top rate from 50p to 45p (2013)
Corporation tax cuts	Increase incentives for investment and attract FDI	UK corporation tax was cut from 28% (2010) to 19% (2017)

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Welfare reform	Reduce benefits to increase the incentive to find employment (reduce the "poverty trap")	Universal Credit, benefit caps, sanctions
Free trade agreements	Opening markets to international competition increases efficiency and consumer choice	EU Single Market, CPTPP membership (2023)

3.2 Interventionist Supply-Side Policies

Policy	How it Works	Examples
Education and training	Improving human capital increases labour productivity and adaptability	Apprenticeship Levy, T-levels, university funding, Lifetime Skills Guarantee
Infrastructure investment	Transport, digital, and energy infrastructure reduces costs and improves productivity	HS2, broadband rollout, road improvements, 5G networks
R&D subsidies and tax credits	Encouraging innovation and technological progress	R&D tax credits for businesses, Innovate UK grants, Catapult centres
Regional policy	Targeting investment at disadvantaged areas to reduce geographic inequality and underuse of resources	Enterprise zones, "Levelling Up" agenda, regional development funds
Healthcare spending	A healthier workforce has lower absenteeism and higher productivity	NHS investment, mental health services, public health campaigns

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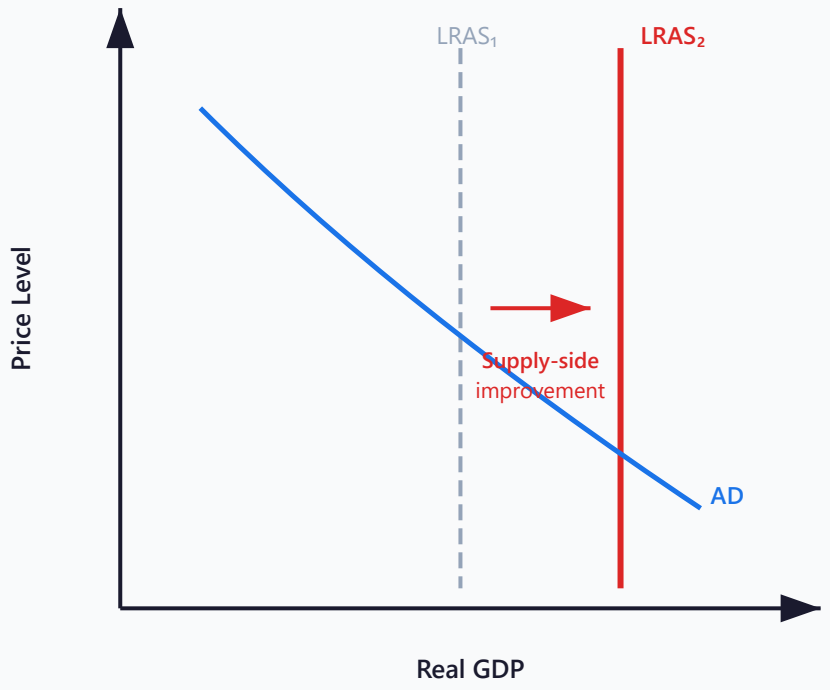

Figure 2: Supply-side policies shift LRAS right — increasing potential output and reducing inflationary pressure

3.3 Evaluation of Supply-Side Policies

Strengths:

- Can achieve economic growth without inflation (LRAS shifts right)
- Address the root causes of economic problems (productivity, competitiveness)
- Benefits are long-lasting and sustainable
- Can improve international competitiveness

Weaknesses:

- **Very long time lags:** Education and infrastructure take years or decades to yield results
- **Opportunity cost:** Investment spending requires funding (higher taxes or borrowing)
- **Uncertain outcomes:** Difficult to guarantee that training programmes or deregulation will achieve desired results
- **Equity concerns:** Market-based policies (tax cuts, welfare reform, deregulation) may increase inequality and harm the most vulnerable

- **Not effective in a demand-deficient recession:** Supply-side policies do not address the immediate problem of insufficient demand
- **Political difficulty:** Some reforms are unpopular (union reforms, benefit cuts, privatisation)

Case Study: Thatcher's Supply-Side Revolution (1980s)

Margaret Thatcher's government (1979-1990) implemented radical supply-side reforms: privatisation of nationalised industries (BT, British Gas, British Steel), trade union legislation (restricting strikes and closed shops), financial deregulation ("Big Bang" 1986), income tax cuts (top rate from 83% to 40%), and council house sales (Right to Buy). The results were transformative but controversial. The UK became more competitive and flexible, the financial sector boomed, and inflation was eventually brought under control. However, manufacturing employment collapsed, inequality rose sharply (Gini coefficient increased from 0.25 to 0.34), and communities dependent on heavy industry (mining towns, steelworks) were devastated. The long-run legacy is debated: supporters credit Thatcher with modernising the UK economy; critics point to rising inequality and the social costs that persist to this day.

4. Policy Conflicts and Trade-offs

4.1 Key Conflicts Between Macroeconomic Objectives

Conflict	Explanation
Growth vs Inflation	Rapid growth (AD rising fast) can cause demand-pull inflation if the economy approaches full capacity. Policies to boost growth may conflict with the inflation target.
Growth vs Current Account	Economic growth increases consumer spending, sucking in imports and worsening the current account deficit. Fast-growing economies often develop trade deficits.
Growth vs Environment	Growth typically increases resource use, pollution, and carbon emissions. Sustainable growth requires decoupling growth from

	environmental damage.
Low Inflation vs Low Unemployment	Reducing unemployment (by boosting AD) may cause inflation. Reducing inflation (by contracting AD) may cause unemployment. This is the Phillips Curve trade-off.
Budget Deficit vs Growth	Cutting the deficit (austerity) reduces AD and growth in the short run. Stimulating growth increases the deficit.

4.2 The Phillips Curve

The Phillips Curve shows an inverse relationship between the rate of unemployment and the rate of inflation. Originally an empirical observation (A.W. Phillips, 1958), it suggests a trade-off: lower unemployment can only be achieved at the cost of higher inflation, and vice versa.

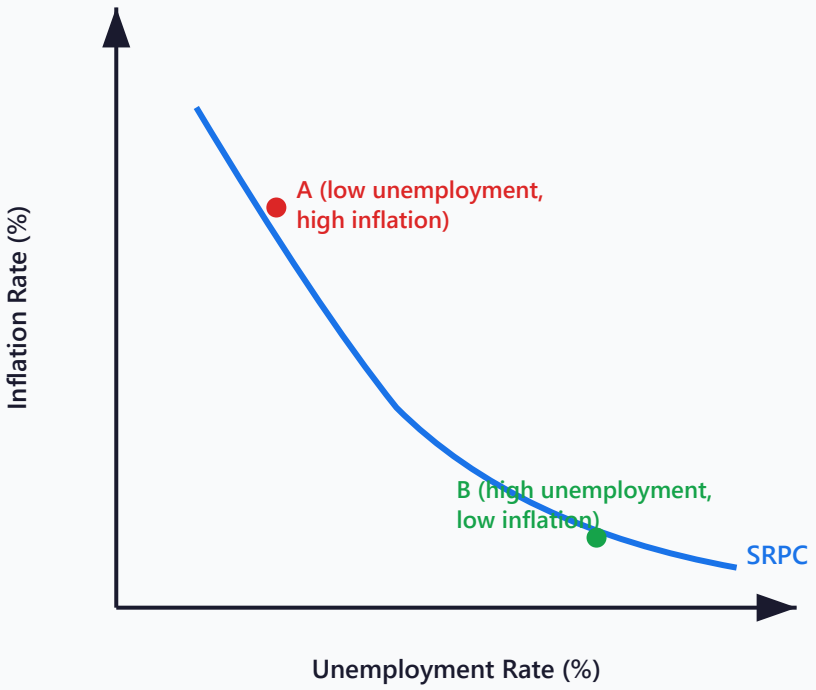

Figure 3: The Short-Run Phillips Curve — an inverse relationship between unemployment and inflation

4.3 The Long-Run Phillips Curve (Monetarist View)

Milton Friedman and Edmund Phelps argued that the Phillips Curve trade-off is **only short-run**. In the long run, the Phillips Curve is **vertical** at the natural rate of unemployment (NRU/NAIRU).

Their reasoning (the expectations-augmented Phillips Curve):

1. If the government tries to reduce unemployment below the NRU by boosting AD, inflation rises.
2. Workers initially accept the higher wages (money illusion — they do not realise prices have risen too).
3. Once workers adjust their expectations to the higher inflation, they demand wage increases to maintain real wages.
4. Firms' costs rise, they lay off workers, and unemployment returns to the NRU — but now at a **higher rate of inflation**.
5. Any attempt to reduce unemployment below the NRU permanently only leads to accelerating inflation.

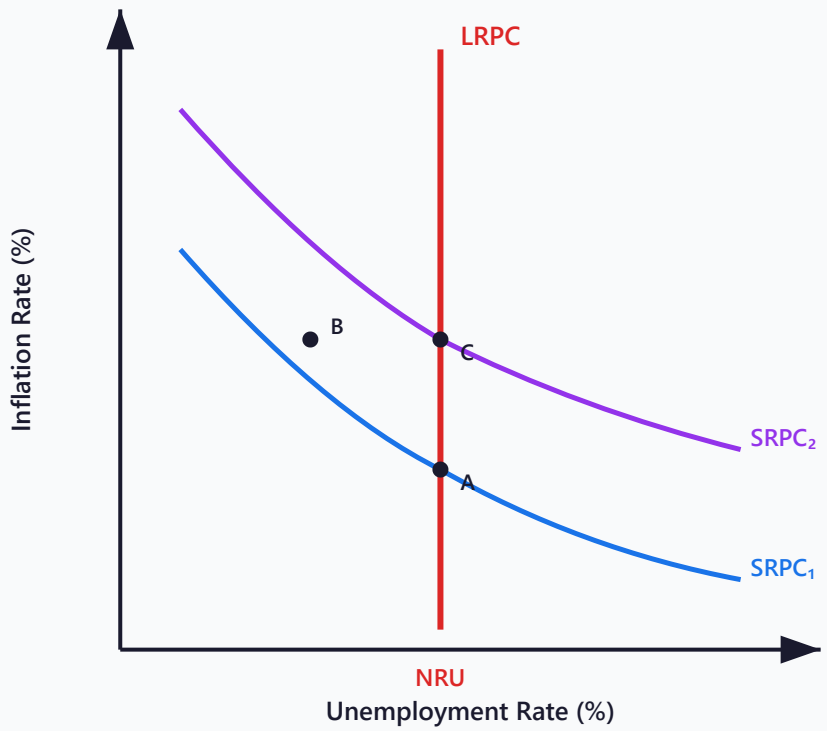

Figure 4: Long-Run Phillips Curve (LRPC) is vertical at the NRU. Attempts to reduce unemployment below NRU (A to B) only temporarily succeed before expectations adjust (B to C).

Exam tip: The Phillips Curve debate is a key evaluation tool. Short-run Keynesians accept the trade-off and argue demand management can reduce unemployment. Long-run monetarists argue the trade-off is illusory — only supply-side policies can reduce the NRU permanently. Use this debate to evaluate demand-side policies.

Case Study: The Phillips Curve and 1970s Stagflation

The original Phillips Curve relationship appeared to break down in the 1970s when many countries experienced stagflation — rising inflation AND rising unemployment simultaneously. In the UK, inflation reached 24% while unemployment climbed. This could not be explained by the simple short-run Phillips Curve. Friedman's expectations-augmented model provided the explanation: governments had tried to keep unemployment below the NRU for too long, causing inflationary expectations to become embedded. Each round of expansionary policy produced less employment benefit and more inflation. The experience led to a fundamental shift in economic policy away from demand management toward inflation targeting and supply-side reforms.

5. Comparing Policy Approaches

Feature	Monetary Policy	Fiscal Policy	Supply-Side Policies
Acts on	AD (via interest rates, money supply)	AD (via G and T)	LRAS (productive capacity)
Time lag	18-24 months	Shorter for automatic stabilisers; longer for discretionary	Very long (years/decades)
Flexibility	High — MPC meets 8 times/year	Lower — annual Budget, political constraints	Low — requires structural reform
Best for	Demand-pull inflation, overheating	Severe recessions, demand deficiency	Long-run growth, competitiveness

Main limitation	Ineffective at zero lower bound; poor against cost-push	Crowding out; political interference; deficits	Very slow; uncertain results; may increase inequality

Evaluation — Which Policy Approach is Best?

- There is no single "best" approach — the appropriate policy depends on the economic context (type of shock, spare capacity, debt levels, inflation expectations).
- In practice, governments use a **policy mix** — combining monetary, fiscal, and supply-side policies.
- Demand-side policies (monetary and fiscal) address short-run fluctuations; supply-side policies address long-run potential.
- The effectiveness of any policy depends on time lags, the multiplier effect, expectations, and the state of the economy.
- Policy credibility matters — if markets and consumers trust the central bank to control inflation, expectations stay anchored, making the task easier.

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